

corporate bonds. A multi-asset-class portfolio helps you increase your portfolio return without increasing overall risk, or to target a return similar to a U.S. stock and U.S. bond only portfolio while taking less overall risk.

The addition of new investments should aid the portfolio over time—if the expected long-term return from each investment is higher than the inflation rate, and if the investments have unique risks that differ from the other investments already in your portfolio. [Figure 4-1](#) demonstrates how adding unique asset classes shifts the characteristics of a portfolio with U.S. stocks and Treasury notes to a portfolio with lower risk and increased long-term return. These curves are known as “efficient frontiers.” They represent the risk and return of two portfolios based on various percentages allocated to different asset classes.

Adding multiple asset classes pushes the efficient frontier toward the *northwest quadrant* of the chart. The northwest quadrant is an investment utopia. It is an optimal portfolio that investors attempt to construct, and it is the type of portfolio you should seek for yourself. The efficient frontier represents a portfolio with an efficient mix of assets that work well together over time.

Now for the bad news: utopia does not exist, at least not in the short term. The northwest quadrant is the goal. However, you will likely never reach the optimal point on the curve. Multi-asset-class investing will shift the risk-and-return characteristics of a portfolio *toward* the northwest quadrant over the long term; however, no fixed asset class mix is always the most efficient one. You could spend your life trying to find the perfect portfolio. However, it can be known only in retrospect. There is no portfolio holding a fixed combination of investments that will consistently achieve high returns and low overall risk.

FIGURE 4-1

Moving Northwest with Multi-Asset-Class Portfolios